

Ex 5E Q10

Determine fortnightly age pension/person
situation

Non-homeowning couple

Total assets \$245,000

Income producing assets \$150,000

4% deemed rate

Annual income \$9,074

Assets Test

Total assets of \$245,000 < assets limits
of \$412,500

therefore they receive full pension
of \$582.40/person

Income Test

$$\text{Assets income} = \frac{\$150,000 \times 4.0\%}{26} = \$223.07$$

$$\text{Employment income} = (9,074 \div 2) / 26 = \$174.50$$

since employment income is < work
bonus of \$250, this is not
included in the income test

$$\text{Total fortnightly income} = \$223.07 < \$268$$

therefore they should receive
\$582.40/person

Each person will receive the full pension
of \$582.40/fortnight.